Rating Update

August 22, 2025 | Mumbai

Remsons Industries Limited

Update as on August 22, 2025

This update is provided in continuation of the rating rational below.

The key rating sensitivity factors for the rating include:

Upward Factors:

- Sustained improvement in scale of operation leading to net cash accruals more than Rs. 25 crores
- Sustenance in working capital cycle and financial risk profile

Downward Factors:

- Decline in scale of operation or operating margins leading to net cash accruals below Rs. 15 crores
- Any large debt funded capex or increase in working capital cycle, weaking the financial risk profile

Crisil Ratings has a policy of keeping its accepted ratings under constant and ongoing monitoring and review. Accordingly, Crisil Ratings seeks regular updates from companies on the business and financial performance. Crisil Ratings is, however, awaiting adequate information from Remsons Industries Limited (RIL) which will enable us to carry out the rating review. Crisil Ratings will continue provide updates on relevant developments from time to time on this credit.

Crisil Ratings also identifies information availability risk as a key credit factor in the rating assessment as outlined in its criteria ‘Information Availability Risk in Credit Ratings’.

About the Company

RIL, incorporated in 1971, manufactures automotive non-electrical components like control cables, flexible shafts, push pull cables and gear shift assembly. It has 4 manufacturing units in Pune (Maharashtra), Gurgaon (Haryana), Daman and Pardi (Gujarat).

RIL is promoted by Mr. Krishna Kejriwal, Mrs. Chand Kejriwal, Mr. Rahul Kejriwal and Ms. Shivani Kejriwal. It is listed on National Stock Exchange of India and Bombay Stock Exchange

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Rating Rationale

June 19, 2024 | Mumbai

Remsons Industries Limited

'CRISIL BBB/Stable/CRISIL A3+' assigned to Bank Debt

Rating Action

Total Bank Loan Facilities Rated	**Rs.66 Crore**
Long Term Rating	**CRISIL BBB/Stable (Assigned)**
Short Term Rating	**CRISIL A3+ (Assigned)**

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1 crore = 10 million
Refer to Annexure for Details of Instruments & Bank Facilities

Detailed Rationale

CRISIL Ratings has assigned its '**CRISIL BBB/Stable/CRISIL A3+**' ratings to the bank facilities of Remsons Industries Limited (RIL).

The ratings reflect the extensive experience of the promoters and RIL's established market position in automobile cables industry, strong customer base and comfortable financial profile. These strengths are partially offset by sector concentration in revenues and working capital intensive operations.

Analytical Approach

For arriving at its ratings, CRISIL Ratings has consolidated the business and financial risk profiles of RIL and its wholly owned subsidiaries which are strategically important and have significant degree of operational integration with RIL.

Please refer Annexure - List of Entities Consolidated, which captures the list of entities considered and their analytical treatment of consolidation.

Key Rating Drivers & Detailed Description

Strengths:

Extensive promoter experience and established market position: The extensive experience of the promoters of over 5 decades in the auto cables industry has helped the company to establish long standing relations with majority of the customers. It has a large product basket comprising of control cables, flexible shafts, push pull cables, gear shifter assembly, winches, pedal box assembly, parking brake mechanism etc. Further in this year the company has signed three JV's in different product segment for product diversification and customer reach which will result in higher revenues over the medium term.

Strong customer base:

The company's customer based includes all major auto manufacturers like Tata Motors, Maruti Suzuki, Force Motors, Ashok Leyland among many others and have. The company also has global presence in countries like Italy, Germany, Spain, UK, USA, Asia among others. This has resulted in an increase in revenues to Rs 312.30 crores, compared to Rs. 224 crore in fiscal 2021.

Comfortable financial risk profile: The comfortable financial risk profile is marked by improvement in networth to around Rs 111 crores as on March 31, 2024 (from Rs. 39 crores a year ago) due to the fund raise of Rs 63 crores in fiscal 2024. The capital structure is comfortable as highlighted by the total outside liabilities to adjusted networth (TOLANW) of around 1.09 times as on March 31, 2024, due to controlled debt levels. With no major debt funded capex in the future, the capital structure is expected to remain healthy over the medium term. The debt protection metrics is adequate as highlighted by interest coverage of more than 5 times and net cash accruals to total debt ratio of 0.40 times, in fiscal 2024. With the expected improvement in the profitability and revenue from operations the debt protection metrics is expected to remain adequate over the medium term.

Weaknesses:

Sector concentration in revenues: The company derives 100% of its revenue from the automotive industry and thus, growth in revenue and profitability remain linked to prospects of the automotive industry. The automotive industry is inherently cyclical, and performance is linked to the overall economic trends. Further, the automobile industry in India is intensely competitive, leading to limited pricing power for automotive component suppliers.

Working capital intensive operations: The operations are working capital intensive as reflected in gross current assets of 140-160 days over the past three fiscals. Debtors are 65-70 days as realization from its customers generally takes upto 60 days and company keeps inventory of around 2 month to meet its customers requirements. Efficient management of working capital cycle amidst improvement in revenues would therefore remain a key monitorable.

Liquidity: Adequate

Liquidity is marked by average bank limit utilization of around 84% for the past 12 months ended March 2024. Net cash accruals are expected between Rs. 26-29 crores in fiscal 2025 and fiscal 2026 which is sufficient against the repayment obligations of 4.5 crores annually. The company has total cash and bank balance of Rs 48 crores as on March 31, 2024.

Outlook: Stable

RIL will continue to benefit from the extensive experience of its promoters and healthy relationships with the customers.

Rating Sensitivity Factors

Upward factors

- Sustained improvement in scale of operation leading to net cash accruals more than Rs. 25 crores
- Sustenance in working capital cycle and financial risk profile

Downward factors

- Decline in scale of operation or operating margins leading to net cash accruals below Rs. 15 crores
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About the Company

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Key Financial Indicators

As on/for the period ended March 31	Unit	2024	2023
Operating income	Rs crore	312.30	312.81
Reported profit after tax	Rs crore	13.31	8.37
PAT margins	%	4.26	2.67
Adjusted Debt/Adjusted Networth	Times	0.55	1.97
Interest coverage	Times	5.06	4.24

Any other information: Not Applicable

Note on complexity levels of the rated instrument:

CRISIL Ratings` complexity levels are assigned to various types of financial instruments and are included (where applicable) in the 'Annexure - Details of Instrument' in this Rating Rationale.

CRISIL Ratings will disclose complexity level for all securities - including those that are yet to be placed - based on available information. The complexity level for instruments may be updated, where required, in the rating rationale published subsequent to the issuance of the instrument when details on such features are available.

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Annexure - Details of Instrument(s)

ISIN	Name of instrument	Date of allotment	Coupon rate (%)	Maturity date	Issue size (Rs.Crore)	Complexity level	Rating assigned with outlook
NA	Bank Guarantee	NA	NA	NA	0.7	NA	CRISIL A3+
NA	Bill Discounting	NA	NA	NA	15	NA	CRISIL BBB/stable
NA	Cash Credit	NA	NA	NA	32	NA	CRISIL BBB/stable
NA	Letter of Credit	NA	NA	NA	1.3	NA	CRISIL A3+
NA	Term loan	NA	NA	Mar-2027	16.5	NA	CRISIL BBB/stable
NA	Proposed Working	NA	NA	NA	0.5	NA	CRISIL BBB/stable

	capital Facility						

Annexure - List of Entities Consolidated

Names of Entities Consolidated	Extent of Consolidation	Rationale for Consolidation
Remsons Automotive Ltd	Full	A wholly owned subsidiary

Annexure - Rating History for last 3 Years

	Current			2024 (History)		2023		2022		2021		Start of 2021
Instrument	Type	Outstanding Amount	Rating	Date	Rating	Date	Rating	Date	Rating	Date	Rating	Rating
Fund Based Facilities	LT	64.0	CRISIL BBB/Stable		--		--		--		--	Withdrawn
Non-Fund Based Facilities	ST	2.0	CRISIL A3+		--		--		--		--	Withdrawn

All amounts are in Rs.Cr.

Annexure - Details of Bank Lenders & Facilities

Facility	Amount (Rs.Crore)	Name of Lender	Rating
Bank Guarantee	**0.7**	**Standard Chartered Bank Limited**	**CRISIL A3+**
Bill Discounting	**15**	**Kotak Mahindra Bank Limited**	**CRISIL BBB/Stable**
Cash Credit	**32**	**State Bank of India**	**CRISIL BBB/Stable**
Letter of Credit	**1.3**	**Standard Chartered Bank Limited**	**CRISIL A3+**
Proposed Working Capital Facility	**0.5**	**Not Applicable**	**CRISIL BBB/Stable**
Term Loan	**16.5**	**State Bank of India**	**CRISIL BBB/Stable**

Criteria Details

Links to related criteria
Rating criteria for manufaturing and service sector companies
CRISILs Bank Loan Ratings - process, scale and default recognition
CRISILs Approach to Financial Ratios
CRISILs Criteria for Consolidation

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